



Solvay Brussels School
Economics & Management

GEST-S2701 – Exercise Session

ES 5. Inventories

2025-2026



Exercise 5.1

Identify in the PCMN the inventory and 'Increase/Decrease in stocks' accounts corresponding to categories below. For 'Increase/Decrease in stocks' accounts, precise if it is an expense or an income account.

- 1) Raw materials
- 2) Consumables
- 3) Work in progress
- 4) Finished goods
- 5) Goods purchased for resale

Exercise 5.1

Stock type	Inventories	'Increase/Decrease in stocks'
Raw materials	30 - Raw materials	6090 – Increase/Decrease in stocks of raw materials (OpExp)
Consumables	31 - Consumables	6091 - Increase/Decrease in stocks of consumables (OpExp)
Work in progress	32 - Work in progress	712 - Increase/Decrease in stocks of work in progress(OpInc)
Finished goods	33 - Finished goods	713 - Increase/Decrease in stocks of finished goods(OpInc)
Goods purchased for resale	34 – Goods purchased for resale	6094 - Increase/Decrease in stocks of goods for resale(OpExp)

Exercise 5.1

➡ The 'Increase/Decrease in stocks' relating to :

- Raw materials
- Consumables
- Goods for sale
- Buildings purchased for resale

Are under the 'expense' account « **609x Increase / Decrease in stocks** »

- with a positive sign when the corresponding asset account is credited ($EoYInv < BoYInv$)
- with a negative sign when the corresponding asset account is debited ($EoYInv > BoYInv$)

➡ The 'Increase/Decrease in stocks' relating to :

- Work in progress
- Finished goods
- Immovable property intended for sale
- Contracts in progress

Are under the 'income' account « **71x Increase (Decrease) in stocks and in contracts in progress** »

- with a positive sign when the corresponding asset account is debited ($EoYInv > BoYInv$)
- with a negative sign when the corresponding asset account is credited ($EoYInv < BoYInv$)

Exercise 5.2

The SRL GHI does not have any automatised stock management software and decided therefore, to use periodic inventory, Early 2023, it has a stock of goods for sale amounting to €400 (€ 20/unit), GHI proceeds with the following transactions (as you can see, the economic context is inflationary) :

- February 2023 : purchase of 200 units at €25/unit +VAT of 21%, directly paid in cash
- March 2023 : sale of 150 units at €60/unit +VAT of 21%, directly paid in cash
- July 2023 : purchase of 100 units at €30/unit +VAT of 21%, directly paid in cash
- September 2023 : sale of 160 units at € 70€/unit +VAT of 21%, directly paid in cash

1) Record the accounting journal entries of purchases and sales, and identify the direct and indirect impacts of each transaction on cash flows.

Exercise 5.2 – 1) Purchases and sales: Journal and cash flows

February 2023 : purchase of 200 units at €25/unit +VAT of 21%, directly paid in cash

- Journal entry

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
xx/02/2023	604		Purchase of goods for resale	5,000	
	411		VAT receivable	1,050	
		440	Suppliers		6,050
	440		Suppliers	6,050	
		550,0	Credit institutions: Current account		6,050

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	-6,050	0	-6,050	0	-6,050
VAT indirect impact: at VAT settlement	+1,050	0	+1,050	0	+1,050
Corporate tax indirect impact: at corporate tax settlement	+1,250	0	+1,250	0	+1,250
Total impact	-3,750	0	-3,750	0	-3,750

Exercise 5.2 – 1) Purchases and sales: Journal and cash flows

March 2023 : sale of 150 units at €60/unit + VAT of 21%, directly paid in cash

- Journal entry

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
xx/03/2023	400		Customers	10,890	
		700	Sales and services rendered		9,000
		451	VAT payable		1,890
	550,0		Credit institutions: Current account	10,890	
		400	Customers		10,890

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	+10,890	0	+10,890	0	+10,890
VAT indirect impact: at VAT settlement	-1,890	0	-1,890	0	-1,890
Corporate tax indirect impact: at corporate tax settlement	-2,250	0	-2,250	0	-2,250
Total impact	+6,750	0	+6,750	0	+6,750

Exercise 5.2 – 1) Purchases and sales: Journal and cash flows

July 2023 : purchase of 100 units at €30/unit +VAT of 21%, directly paid in cash

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
xx/07/2023	604		Purchase of goods for resale	3,000	
	411		VAT receivable	630	
		440	Suppliers		3,630
	440		Suppliers	3,630	
		550,0	Credit institutions: Current account		3,630

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	-3,630	0	-3,630	0	-3,630
VAT indirect impact: at VAT settlement	+630	0	+630	0	+630
Corporate tax indirect impact: at corporate tax settlement	+750	0	+750	0	+750
Total impact	-2,250	0	-2,250	0	-2,250

Exercise 5,2 – 1) Purchases and sales: Journal and cash flows

September 2023 : sale of 160 units at € 70€/unit +VAT of 21%, directly paid in cash

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
xx/09/2023	400		Customers	13,552	
		700	Sales and services rendered		11,200
		451	VAT payable		2,352
	550,0		Credit institutions:Current account	13,552	
		400	Customers		13,552

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	+13,552	0	+13,552	0	+13,552
VAT indirect impact: at VAT settlement	-2,352	0	-2,352	0	-2,352
Corporate tax indirect impact: at corporate tax settlement	-2,800	0	-2,800	0	-2,800
Total impact	+8,400	0	+8,400	0	+8,400

Exercise 5.2

- 2) For the inventory valuation methods, except for the SI method (namely the methods FIFO, LIFO, WAC (Weighted Average Cost)) :
 - a) Present the tables of valuation of goods for resale

Exercise 5.2 – 2a) Valuation table

FIFO : First in, First Out

FIFO	Flows			Stocks		
Date	Quantity	Unit price	Value	Quantity	Unit Price	Value
			BI	20	20	400
February				20	20	
	+200	25	5,000	200	25	5,400
March	-20	20	400			
	-130	25	3,250	70	25	1,750
July				70	25	
	+100	30	3,000	100	30	4,750
September	-70	25	1,750			
	-90	30	2,700	10	30	300
			EI			300

Exercise 5.2 – 2a) Valuation table

LIFO : Last in, First Out

LIFO Date	Flows				Stocks		
	Quantity	Unit price	Value		Quantity	Unit Price	Value
			BI	20	20	400	
February	+200	25	5,000	200	20		
					25	5,400	
March				20	20		
	-150	25	3,750	50	25	1,650	
July				20	20		
				50	25		
	+100	30	3,000	100	30	4,650	
September	-100	30	3,000				
	-50	25	1,250				
	-10	20	200	10	20	200	
			EI			200	

Exercise 5.2 – 2a) Valuation table

WAC : Weighted Average Cost

WCA Date	Flows			Stocks		
	Quantity	Unit price	Value	Quantity	Unit Price	Value
			BI	20	20	400
February	+200	25	5,000	220	24,55	5,400
March	-150	24,55	3,681,8	70	24,55	1,718,2
July	+100	30	3,000	170	27,75	4,718,2
September	-160	27,75	4,440,6	10	27,75	277,54
			EI			277,54

Exercise 5.2

- 2) For the inventory valuation methods, except for the SI method (namely the methods FIFO, LIFO, WAC (Weighted Average Cost)) :
 - b) Record the entry de variation des stocks in the journal
 - c) For all of the above transactions, identify the direct and indirect impacts on cash flows.

Exercise 5.2 – 2b) et 2c) Journal entry and cash flows

FIFO : First in, First Out

Reminder : BoYInv = 400
 EoYInv = 300 $\Rightarrow$ Decrease in goods for resale = -100

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
31/12/2023	6094		Decrease in stocks of goods for resale	100	
		340	Goods purchased for resale		100

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	0	0	0	0	0
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement	+25	0	+25	0	+25
Total impact	+25	0	+25	0	+25

Exercise 5.2 – 2b) et 2c) Journal entry and cash flows Livre

LIFO : Last in, First Out

Reminder : BoYInv = 400
EoYInv = 200 $\Rightarrow$ Decrease in goods for resale = -200

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
31/12/2023	6094		Decrease in stocks of goods for resale	200	
		340	Goods purchased for resale		200

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	0	0	0	0	0
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement	+50	0	+50	0	+50
Total impact	+50	0	+50	0	+50

Exercise 5.2 – 2b) et 2c) Journal entry and cash flows

WAC : Weighted Average Cost

Reminder : BoYInv = 400
EoYInv = 277,54 $\Rightarrow$ Decrease in goods for resale = -122,46

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
31/12/2023	6094		Decrease in stocks of goods for resale	122,46	
		340	Goods purchased for resale		122,46

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	0	0	0	0	0
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement	+30,61	0	+30,61	0	+30,61
Total impact	+30,61	0	+30,61	0	+30,61

Exercise 5.2

- 2) For the inventory valuation methods, except for the SI method (namely the methods FIFO, LIFO, WAC (Weighted Average Cost)) :
- d) For all of the above transactions above, calculate the impact on the profit/loss, the WCR and calculate the operating cash flow using the indirect method (not considering corporate tax)

Exercise 5.2 – 2d) Impact on the result, WCR et Operating CF

Impact on the result

Income: Sales = +20,200 €

Expenses: Purchase of goods for resale = +8,000 €

FIFO

Expenses: Decrease in goods for resale = +100 € ➡ **Profit/Loss impact = +12,100 €**

LIFO

Expenses: Decrease in goods for resale = +200 € ➡ **Profit/Loss impact = +12,000 €**

WAC

Expenses: Decrease in goods for resale = + 122,46 € ➡ **Profit/Loss impact = +12,077,54 €**

Exercise 5.2 – 2d) Impact on the result, WCR et Operating CF

Impact on the WCR

FIFO

Impact Inv: -100 €



Impact WCR = -100 €

Impact AR : +0 €

Impact AP: +0 €

LIFO

Impact Inv: -200 €



Impact WCR = -200 €

Impact AR: +0 €

Impact AP : +0 €

WAC

Impact Inv: -122,46 €



Impact WCR = -122,46 €

Impact AR: +0 €

Impact AP: +0 €

NB: VAT being paid/recovered at the end of each quarter, it has no impact on the WCR in fine

Exercise 5.2 – 2d) Impact on le result, WCR et Operating CF

Impact sur le Operating CF

FIFO

Profit/Loss impact : +12,100 €

Impact WCR : -100 €



Impact Operating CF = +12,200€

LIFO

Profit/Loss impact : +12,000 €

Impact WCR : -200 €



Impact Operating CF = +12,200€

WAC

Profit/Loss impact : +12,077,54 €

Impact WCR : -122,46 €



Impact Operating CF = +12,200€

Exercise 5,2

- 2) For the inventory valuation methods, except for the SI method (namely the methods FIFO, LIFO, WAC (Weighted Average Cost))
- e) For all of the above transactions, identify the impacts on the simplified income statement and the adjusted year-end balance sheet.

Exercise 5.2 - 2e) IS and BS Impacts

FIFO: First in, First Out

Reminder: Purchase of goods for resale = +8,000 €

Sales = +20,200 €

Inventory variation = +100 € (expense)

INCOME STATEMENT (simplified)			
+11,125 €	EXPENSES	INCOME	+20,200 €
+8,100 €	OpExp	OpInc	+20,200 €
	<i>EBIT = + 12,100 €</i>		
	FinExp	OpInc	
	<i>EBT = + 12,100 €</i>		
+3,025 €	Corp.Tax.	(Corp.Tax.)	
	<i>NetProfit to allocate = +9,075 €</i>		

Exercise 5.2 - 2e) IS and BS Impacts

FIFO: First in, First Out

Reminder: Purchase of goods = +8,000 €

Sales = +20,200 €

Inventory variation = +100 €
(expense)

BALANCE SHEET			
+9,075 €	ASSET	LIABILITY	+9,075 €
	FE	Cap	
		AIR	
		RES	
	PPE	REP	+9,075 €
		SUBS	
		PRDT	
	FinA	LTD	
-100 €	INVENTORY		
	AR	OpDebt	
	Acc(A)	Acc(L)	
	INVST		
+9,175 €	CASH		

=+12,200 € (sales and purchase) - 3,025 € (Corp.Tax.)

Exercise 5.2 - 2e) IS and BS Impacts

LIFO: Last in, First Out

Reminder: Purchase of goods= +8,000 €

Sales = +20,200 €

Inventory variation = +200 €
(expense)

INCOME STATEMENT (simplified)			
+11,200 €	EXPENSES	INCOME	+20,200 €
+8,200 €	OpExp	OpInc	+20,200 €
	<i>EBIT = + 12,000 €</i>		
	FinExp	FinInc	
	<i>EBT = + 12,000 €</i>		
+3,000 €	Corp.Tax.	(Corp.Tax.)	
	<i>NetProfit to allocate = +9,000 €</i>		

Exercise 5.2 - 2e) IS and BS Impacts

LIFO: Last in, First Out

Reminder: Purchase of goods = +8,000 €

Sales = +20,200 €

Inventory variation = +200 €
(expense)

BALANCE SHEET			
+9,000 €	ASSET	LIABILITY	+9,000 €
	FE	Cap	
		AIR	
		RES	
	PPE	REP	+9,000 €
		SUBS	
		PRDT	
	FinA	LTD	
-200 €	INVENTORY		
	AR	OpDebt	
	Acc(A)	Acc(L)	
	INVST		
+9,200 €	CASH		

= +12,200 € (sales and purchase) - 3,000 € (Corp. Tax.)

Exercise 5.2 - 2e) IS and BS Impacts

WAC: Weighted Average Cost

Reminder: Purchase of goods = +8,000 €

Sales = +20,200 €

Inventory variation = +122,46 €
(expense)

INCOME STATEMENT (simplified)			
+11,141,84 €	EXPENSES	INCOME	+20,200 €
+8,122,46 €	OpExp	OpInc	+20,200 €
	<i>EBIT = + 12,077,54 €</i>		
	FinExp	FinInc	
	<i>EBT = + 12,077,54 €</i>		
+3,019,38 €	Corp.Tax.	(Corp.Tax.)	
	<i>NetProfit to allocate = + 9,058,16 €</i>		

Exercise 5.2 - 2e) IS and BS Impacts

WAC: Weighted Average Cost

Reminder: Purchase of goods = +8,000 €

Sales = +20,200 €

Inventory variation = +122,46 €
(expense)

BALANCE SHEET			
+9,058,16 €	ASSET	LIABILITY	+9,058,16 €
	FE	Cap	
		AIR	
		RES	
	PPE	REP	+9,058,16 €
		SUBS	
		LRID	
	FinA	LTD	
-122,46 €	INVENTORY		
	AR	OpDebt	
	Acc(A)	Acc(L)	
	INVST		
+9,180,62 €	CASH		

=+12,200 € (sales and purchase) -3,019,38 € (Corp.Tax.)

Exercise 5.2

- 3) Which method would give:
- a) Maximum profit? Explain
 - b) The lowest corporate tax? Explain

Exercise 5.2 – 3) Comparisons profit and Corp.Tax.

	Impact on result * 25% =	Impact Corp.Tax.
FIFO :	+12,100 €	+3,025 €
LIFO :	+12,000 €	+3,000 €
WAC :	+12,077,54 €	+3,019,38 €

➡ The FIFO method is more advantageous for maximizing profit

➡ The LIFO method is more advantageous for minimizing profit, and thus corporate tax

Exercise 5.2 – 4) Impacts inflation and deflation

- 4) Let us imagine, in a parallel world, that the economic context is deflationary. In that case, which method would give:
- a) Maximum profit?
 - b) The lowest corporate tax? For which reason(s)?

Exercise 5.2 – 4) Impacts inflation and deflation

In inflationary, with the FIFO method:

- The prices of the « first in » inventories are **lower** than the price of « last in » inventories
- As « first in » inventories are first out, the value for the final inventory is **higher**
- The inventory variation (EoYInv-BoYInv) is thus **less negative**, which gives **higher accounting result...**

... but also **higher corporate tax !**

In deflationary, with the FIFO method:

- The prices of the « first in » inventories are **higher** than the price of « last in » inventories
- As « first in » inventories are first out, the value for the final inventory is **lower**
- The inventory variation (EoYInv-BoYInv) is thus **more negative**, which gives **lower accounting result...**

...but also **lower corporate tax !**

Exercise 5.2 – 4) Impacts inflation and deflation

In inflationary economic context:

- ➡ The FIFO method is more advantageous for maximizing profit
- ➡ The LIFO method is more advantageous for minimizing profit, and thus corporate tax

In deflationniste econopmic context:

- ➡ The LIFO method is more advantageous for maximizing profit
- ➡ The FIFO method is more advantageous for minimizing profit, and thus corporate tax

Exercise 5.2 – 5) Loss of 2 units

- 5) Bad surprise: during year-end inventory count, the company noticed that 2 units are missing and 4 units have been destroyed. Record the accounting entries (based on the WAC method), and identify the direct and indirect impacts on cash flows.

Exercise 5.2 – 5) Loss of 2 units et destruction de 4 units

The unit cost is €27,75 per unit, so the value of lost inventory is $27,75 * 2 = €55,5$ and the value of destroyed inventory is $27,75 * 4 = €111$.

- Journal entry

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
31/12/2023	6094		Decrease in stocks of goods for resale	55,5	
		340	Goods purchased for resale: Acquisition value		55,5
	6094		Decrease in stocks of goods for resale	111	
		340	Goods purchased for resale: Acquisition value		111

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	0	0	0	0	0
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement	+41,62	0	+41,62	0	+41,62
Total impact	+41.62	0	+41.62	0	+41.62

Exercise 5.2 – 6) Loss of value of the inventory

- 6) Another bad surprise: on the market, inventory is now selling for only €20/unit (before VAT). Record any necessary accounting entries and identify the direct and indirect impacts on cash flows.

Exercise 5.2 – 6) Loss of value of the inventory

The unit cost is €27,75 per unit according to WAC, so the value lost is $(27,75 - 20) * 4$ (number of remaining units) = **31 €**.

- Journal entry

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
31/12/2023	6310		Amounts written down on stocks: Appropriations	31	
		349	Goods purchased for resale: Recorded impairments		31

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	0	0	0	0	0
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement	+7,75	0	+7,75	0	+7,75
Total impact	+7,75	0	+7,75	0	+7,75

APPENDIX

Exercise 5.3

ABC SRL, which was created at the beginning of 2023, is launching into the business of connected bike helmets. In April 2023, it purchases 100 units at a price of €20/piece + VAT of 21%, on credit. In September of the same year, after promoting its products, it sells 80 units to a major distributor at a price of €50 €/piece + VAT of 21%, in cash.

- 1) If the company opts for **permanent** inventory:
 - a) Record the purchase and sale entries in the journal.
 - b) Identify direct and indirect impacts on cash flows.
 - c) Present the impacts of these transactions in the simplified income statement and restated balance sheet at year-end.

Exercise 5.3 – 1a) and 1b) Journal entry and cash flows

1) Purchase of 100 units at €20/unit

- Journal entry

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
xx/04/2023	340		Goods purchased for resale: ACquisition value	2,000	
	411		VAT receivable	420	
		440	Suppliers		2,420
	440		Suppliers	2,420	
		550.0	Credit institutions: Current accounts		2,420

Exercise 5.3 – 1a) and 1b) Journal entry and cash flows

1) Purchase of 100 units at €20/unit

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
<i>Direct impact:</i> at accounting entry	-2,420	0	-2,420	0	-2,420
<i>VAT indirect impact:</i> at VAT settlement	420	0	420	0	420
<i>Corporate tax indirect impact:</i> at corporate tax settlement	0	0	0	0	0
Total impact	-2,000	0	-2,000	0	-2,000

Exercise 5.3 – 1a) and 1b) Livre journal et cash flows

2) Sale of 80 units at €50/unit

- Journal entry

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
xx/09/2023	400		Customers	4,840	
		700	Sales and services rendered		4,000
		451	VAT payable		840
	550.0		Credit institutions: Current accounts	4,840	
		400	Customers		4,840
	60x		Cost of goods sold	1,600	
		340	Goods purchased for resale: acquisition value		1,600

Since ABC sells 80 units, its merchandise inventory decreases by $80 \times 20 = €1,600$. The profit from this sale is thus $€4,000 - €1,600 = €2,400$,

NB: the account " 60x : Cost of goods sold " does not actually exist,

Exercise 5.3 – 1a) and 1b) Livre journal et cash flows

2) Sale of 80 units at €50/unit

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
<i>Direct impact:</i> at accounting entry	+4,840	0	+4,840	0	+4,840
<i>VAT indirect impact:</i> at VAT settlement	(840)	0	(840)	0	(840)
<i>Corporate tax indirect impact:</i> at corporate tax settlement	-600	0	-600	0	-600
Total impact	+3,400	0	+3,400	0	+3,400

Exercise 5.3 - 1c) IS and BS Impacts

Reminder: COGS = +1,600 €

Sales = +4,000 €

INVENTORY = +2,000 – 1,600 = +400 €

INCOME STATEMENT (simplified)			
	EXPENSES	INCOME	
+1,600 €			+4,000 €
+1,600 €	OpExp	OpInc	+4,000 €
	<i>EBIT = + 2,400 €</i>		
	FinExp	FinInc	
	<i>EBT = + 2,400 €</i>		
+600 €	Corp,Tax,	(Corp,Tax,)	
	<i>NetProfit to allocate = + 1,800 €</i>		

Exercise 5.3 – 1c) IS and BS Impacts

Reminder: COGS= +1,600 €

Ventes = +4,000 €

STOCK = +2,000 – 1,600 = +400 €

BALANCE SHEET (restated)			
+1,800 €	ASSET	LIABILITY	+1,800 €
	FE	App	
		PVR	
		RES	
	IM	REP	+1,800 €
		SUBS	
		PRID	
	FinA	LTD	
+400 €	STOCK		
	CrExp	DExp	
	CRegA	CRegP	
	INVST		
+1,400 €	CASH		

=+2,000 € (sales and purchases) - 600 € (I,Soc,)

Exercise 5.3

- 2) If the company opts for the **periodic** inventory method:
 - a) Record the purchase, sale and inventory variation entries in the journal.
 - b) Identify the direct and indirect impacts on cash flows.
 - c) Present the impacts of these operations in the simplified income statement and the restated balance sheet at the end of the exercise.

Exercise 5.3 – 2a) and 2b) Journal entry and cash flows

1) Purchase of 100 units at 20€/unit

- Journal entry

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
xx/04/2023	604		Purchase of goods for resale	2,000	
	411		VAT receivable	420	
		440	Suppliers		2,420
	440		Suppliers	2,420	
		550.0	Credit institutions: Current accounts		2,420

Exercise 5.3 – 2a) and 2b) Journal entry and cash flows

1) Purchase of 100 units at 20€/unit

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
<i>Direct impact:</i> at accounting entry	-2,420	0	-2,420	0	-2,420
<i>VAT indirect impact:</i> at VAT settlement	+420	0	+420	0	+420
<i>Corporate tax indirect impact:</i> at corporate tax settlement	+500	0	+500	0	+500
Total impact	-1,500	0	-1,500	0	-1,500

Exercise 5.3 – 2a) and 2b) Journal entry and cash flows

2) Sale of 80 units at 50€/unit

- Journal

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
xx/09/2023	400		Customers	4,840	
		700	Sales and services rendered		4,000
		451	VAT payable		840
	550.0		Credit institutions: Current accounts	4,840	
		400	Customers		4,840

Exercise 5.3 – 2a) and 2b) Journal entry and cash flows

2) Sale of 80 units at 50€/unit

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
<i>Direct impact:</i> at accounting entry	+4,840	0	+4,840	0	+4,840
<i>VAT indirect impact:</i> at VAT settlement	-840	0	-840	0	-840
<i>Corporate tax indirect impact:</i> at corporate tax settlement	-1,000	0	-1,000	0	-1,000
Total impact	+3,000	0	+3,000	0	+3,000

Exercise 5.3 – 2a) and 2b) Journal entry and cash flows

3) Inventory variation

- Journal entry

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
31/12/2023	340		Goods purchased for resale: valeur d'acquisition	400	
		6094	Increase in stocks of goods for resale		400

Company ABC having purchased 100 units of inventory and sold 80 of them, it therefore increases its inventory by $20 \times 20\text{€} = 400\text{€}$

Exercise 5.3 – 2a) and 2b) Journal entry and cash flows

3) Inventory variation

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Direct impact: at the time of the accounting entry	0	0	0	0	0
Indirect VAT impact: at the time of VAT settlement with the State	0	0	0	0	0
Indirect I,Soc,: at the time of corporate tax payment	-100	0	-100	0	-100
Impact total	-100	0	-100	0	-100

Exercise 5.3 – 2c) IS and BS impact

Reminded: Purchase of goods= +2,000 €

Ventes = +4,000 €

Inventory variation : -400€ (charge)

INCOME STATEMENT (simplified)			
	CHARGES	INCOME	
+1,600 €			+4,000 €
+1,600 €	ChExp	PrInc	+4,000 €
	<i>EBIT = + 2,400 €</i>		
	ChFin	PrInc	
	<i>EBT = + 2,400 €</i>		
+600 €	Corp.Tax.	(Corp.Tax.)	
	<i>ProfitEx à affecter = + 1,800 €</i>		

Exercise 5.3 – 2c) IS and BS impact

Reminder: Achat merchandise = +2,000 €

Ventes = +4,000 €

Inventory variation : -400€ (charge)

BALANCE SHEET (restated)			
+1,800 €	ASSET	LIABILITY	+1,800 €
	FE	App	
		PVR	
		RES	
	IM	REP	+1,800 €
		SUBS	
		PRID	
	FinA	DFin	
+400 €	STOCK		
	CrExp	DExp	
	CRegA	CRegP	
	INVST		
+1,400 €	CASH		

=+2,000 € (sale and purchase) - 600 € (Corp.Tax.)

Exercise 5.4

As of 31/12/2021, company DEF presents the following evolution of its raw materials stock account:

- Initial stock (raw materials): 39,000 €
- Purchases of raw materials during the period (cash): 15,500 €
- Sales of raw materials during the period (cash): 20,750 €
- Final stock (raw materials): 47,000 €

Furthermore, its stock of finished goods increased by 4,000 € during the period.

For the purposes of this exercise, there is no VAT.

- 1) Record the purchase, sale and inventory variation entries (using the periodic inventory method).
- 2) Identify the direct and indirect impacts on cash flows.

Exercise 5.4 – 1) et 2) Livre entry and cash flows

1) Purchase of raw materials for 15,500 €

- Journal entry

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
xx/xx/2021	600		Purchase of raw materials	15,500	
		440	Suppliers		15,500
	440		Suppliers	15,500	
		550.0	Credit institutions: Current accounts		15,500

Exercise 5.4 – 1) et 2) Livre entry and cash flows

1) Purchase of raw materials for 15,500 €

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
<i>Direct impact:</i> at accounting entry	-15,500	0	-15,500	0	-15,500
<i>VAT indirect impact:</i> at VAT settlement	0	0	0	0	0
<i>Corporate tax indirect impact:</i> at corporate tax settlement	+3,875	0	+3,875	0	+3,875
Total impact	-11,625	0	-11,625	0	-11,625

Exercise 5.4 – 1) et 2) Livre entry and cash flows

2) Sale of raw materials for 20,750 €

- Journal entry

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
xx/xx/2021	400		Customers	20,750	
		700	Sales and services rendered		20,750
	550.0		Credit institutions: Current accounts	20,750	
		400	Customers		20,750

Exercise 5.4 – 1) et 2) Livre entry and cash flows

2) Sale of raw materials for 20,750 €

- Impact on cash flows

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
Direct impact: at accounting entry	+20,750	0	+20,750	0	+20,750
VAT indirect impact: at VAT settlement	0	0	0	0	0
Corporate tax indirect impact: at corporate tax settlement	-5,187,5	0	-5,187,5	0	-5,187,5
Total impact	+15,562,5	0	+15,562,5	0	+15,562,5

Exercise 5.4 – 1) et 2) Livre entry and cash flows

3) Inventory variation

- Journal entry

Date	N° SCA		Name	Amount (€)	
	Debit	Credit		Debit	Credit
31/12/2021	300		Raw materials: acquisition value	8,000	
		6090	Increase in stock of of raw materials		8,000
	330		Finished goods: acquisition value	4,000	
		713	Increase in stock of finished goods		4,000

For raw materials, we know that we have a stock valued at 47,000 € at the end of the year, compared to 39,000 € at the beginning of the year.

Exercise 5.4 – 1) et 2) Livre entry and cash flows

3) Inventory variation

Timing	CFop (1)	CFinv (2)	FCF (3) = (1) + (2)	CFfin (4)	Δ CASH (5) = (3) + (4)
<i>Direct impact:</i> at accounting entry	0	0	0	0	0
<i>VAT indirect impact:</i> at VAT settlement	0	0	0	0	0
<i>Corporate tax indirect impact:</i> at corporate tax settlement	-3,000	0	-3,000	0	-3,000
Total impact	-3,000	0	-3,000	0	-3,000

Exercise 5.4

- 3) Assess the impacts on sales and services, revenue and gross margin related to the above operations.

Exercise 5,4 – 3) Impacts on Sales&Services, Revenue and Gross Margin

- Sales and services (70/76A): **+ 24,750 €**
 - Revenue (70): **+20,750 €**
 - Inventory variations [Revenue] (71): +4,000 €
- Cost of sales and services (60/66A):
 - Supplies and merchandise (60): +7,500 €
 - Purchases (600/608) : + 15,500 €
 - Inventory variations [Expenses] (609): - 8,000 €
- Gross Margin = Sales and services – costs of sales and services = **+17,250 €**

Exercise 5,4

- 4) Identify the impacts of these operations on the simplified income statement and the restated balance sheet at the end of the exercise.

Exercise 5.4 – 4) IS and BS impact

Reminder: Purchase = +15,500 €

Sales = +20,750 €

Inventory variation raw materials: -8,000 € (expense)

Inventory variation finished goods: +4,000 € (income)

INCOME STATEMENT (simplified)			
	CHARGES	INCOME	
+7,500 €			+24,750 €
+7,500 €	OpExp	OpInc	+24,750 €
	EBIT = + 17,250 €		
	FinExp	FinInc	
	EBT = + 17,250 €		
+4,312,5 €	Corp.Tax	(Corp.Tax.)	
	ProfitEx à affecter = + 12,937,5 €		

Exercise 5.4 – 4) Impacts IS and Balance Sheet

Reminder : Purchase = +15,500 €

Sale = +20,750 €

Inventory variation RM: -8,000 € (charge)

Inventory variation FG: +4,000 € (produit)

BALANCE SHEET (restated)			
+12,937,5 €	ASSETS	LIABILITY	+12,937,5 €
	FE	App	
		PVR	
		RES	
	IM	REP	+12,937,5 €
		SUBS	
		PRID	
	FinA	DFin	
+12,000 €	STOCK		
	CrExp	DExp	
	CRegA	CRegP	
	INVST		
+937,5 €	CASH		

=+5,250 € (sales and purchase) – 4,312,5 € (Corp.Tax.)